IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

CP(CAA)59/BB/2017

Under Sections 230 to 232 of Companies Act, 2013

Order delivered on 23rd April, 2018

IN THE MATTER OF SCHEME OF AMALAGAMATION

IN THE MATTER OF

SJD ADVISORY SERVICES PRIVATE LIMITED

WITH

SOUTH WEST MINING LIMITED

Coram: Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)

Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

1. SJD Advisory Services Private Limited
Registered office at JSW Mining Office
Vidyanagar, Talur Cross
Toranagallu, Bellary – 583 275
Karnataka - **Petitioner Company No1 / Transferor Company**

2. South West Mining Limited
Registered office at JSW Mining Office
Vidyanagar, Talur Cross
Toranagallu, Bellary – 583 275
Karnataka - **Petitioner Company No.2 / Transferee Company**

For the Petitioner(s): SPJ Legal Associates
Advocates

For the Respondents: Smt. Sinchana M.R. counsel for RoC/RD.

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical) - (Author)

Heard on: 13.10.2017, 22.11.2017, 12.12.2017, 19.12.2017, 11.01.2018, 30.01.2018, 09.02.2018, 20.02.2018,7.3.2018, 12.3.2018, 26.3.2018, 5.4.2018

ORDER

These Company Petitions are filed on behalf of the Petitioner/Transferor Company viz., SJD Advisory Services Private Limited and Petitioner/Transferee Company viz., South West Mining Limited under Sections 230 to 232 of the Companies Act, 2013 praying for sanctioning the Scheme of Amalgamation whereby **DKS ADVISORY SERVICES**

PRIVATE LIMITED, Mumbai and **SJD ADVISORY SERVICES PRIVATE LIMITED, Bellary, Karnataka** (Transferor Companies 1 and 2) to be merged with **SOUTH WEST MINING LIMITED, Bellary, Karnataka** (Transferee Company) so as to be binding on all the Shareholders and the Secured and Unsecured Creditors.

The averments made in the Company Petition are briefly described hereunder:-

The Petitioner/Transferor and Transferee Companies seek an order for sanctioning the Scheme of Amalgamation of **DKS ADVISORY SERVICES PRIVATE LIMITED** and **SJD ADVISORY SERVICES PRIVATE LIMITED** (Transferor Companies 1 and 2) to be merged with **SOUTH WEST MINING LIMITED** (Transferee Company) as per the Scheme at Annexure-A.

The 1st Petitioner/Transferor Company No.2 was incorporated on 18.11.2016 as a private limited company under the provisions of the Companies Act, 2013 under the name 'SJD Advisory Services Private Limited' and its registered office is situated at JSW Mining Office, Near Talur Cross, Vidyanagar, Bellary – 583 275.

The Authorised Share Capital of the Petitioner/Transferor Company No.2 as on 31.03.2017 was Rs.1,00,000/- divided into 10000 Equity Shares of Rs.10/- each. The issued, subscribed and paid up capital of the Petitioner/Transferor Company was Rs.1,00,000/- divided into 10000 Equity Shares of Rs.10/- each.

The main objects of the 1st Petitioner/Transferor Company No.2 as set out in its Memorandum of Association inter alia is as follows:

> To carry on the business of advisory services in areas technical, administrative, secretarial, commercial, legal, economic, labour, industrial, public relation, scientific, direct and indirect taxation and other levies, SEBI Regulations, foreign exchange management act, computer software, statistical, accountancy, quality control, data processing recruiting, training, personnel, and to provide all types of management services. To provide technical knowhow, render advice on planning development, feasibility studies, manpower planning, project reports, system studies, marketing, advertising, to prepare complete schemes, drawings, plant operation,

corporate planning, real estate, civil, cost control for and on behalf of the clients. To diagnose operational difficulties and suggest remedial measures to improve and modernise existing units and to be appointed as consultants, for development of exports/import. To provide services of data processing and modern management services."

The 2nd Petitioner/Transferee Company was incorporated on 08.10.1996 under the provisions of the Companies Act, 1956 under the name Jindal Fertilizers Limited. On 25th June, 2000 the name of the company was changed to South West Mining Limited. The Registered Office of the 2nd Petitioner/Transferee Company is situated at JSW Mining Office, Vidyanagar, Talur Cross, Toranagallu, Bellary – 533 275.

The objects of the 2nd Petitioner/Transferee Company as set out in its Memorandum of Association inter alia is as follows:

To engage in, to prospect in, to carry on the business of mining, extraction of minerals, metals, ores, things and other items attached to earth or forming part of earth and also to do all things and to engage generally in the business of mining and also to act generally as miners.

The Authorised Share Capital of the 2nd Petitioner/Transferee Company as on 31.03.2017 is Rs.1,00,00,00,000/- divided into 10,00,00,000 Equity Shares of Rs.10/- each and the issued, subscribed and paid up Equity Share Capital is Rs.56,48,07,000/- divided into 5,64,80,700 Equity Shares of Rs.10/- each.

The Board of Directors of the 1st Petitioner/Transferor Company No.2 had vide its resolution dated 05.06.2017 approved the Amalgamation of DKS Advisory Services Private Limited and SJD Advisory Services Private Limited with South West Mining Limited. A copy of the said resolution is produced as Annexure-H to the petition. The Board of Directors of the 2nd Petitioner/Transferee Company vide its resolution dated 02.06.2017 approved the Amalgamation of DKS Advisory Services Private Limited and SJD Advisory Services Private Limited with South West Mining Limited. A copy of the said resolution is produced as Annexure-I to the petition. The entire issued, subscribed and paid up share capital of DKS Advisory Services Private Limited is held by SJD Advisory Services Private Limited.

That the 1st Petitioner/Transferor Company No.2 and the 2nd Petitioner/Transferee Company had filed CA(CAA) No.48/BB/2017 before this Tribunal seeking to dispense with convening of the meetings of Equity Shareholders for approving the scheme of Amalgamation. This Tribunal by its order dated 04.08.2017 allowed the Company Application and directed to convene the meetings of the Secured and Unsecured Creditors. Further the order was modified vide order dated 18.08.2017 in I.A.No.101/2017 in CA(CAA) No.48/BB/2017. The Transferor Companies No.1 and No.2 were directed to hold meetings of Secured Creditors on 25.09.2017 at 10.30 a.m. and 11.00 a.m. respectively at JSW Centre, Bandra Kurla Complex, Bandra East, Mumbai – 460 051 and the Transferee Company was directed to hold the meeting of Unsecured Creditors on 25.09.2017 at 1.00 p.m. at JSW Mining Office, Near Talur Cross, Vidyanagar, Bellary-583 275. The copy of the order of the Tribunal in CA(CAA) No.48/BB/2017 and on I.A.No.101/2017 is produced as Annexure-L to this petition.

This Tribunal by its Order dated 13.10.2017 directed the Petitioner/Transferee and Peititioner/Transferor Company No. 2 to issue notice to Regional Director, Ministry of Corporate Affairs, South-East Region, Registrar of Companies, Assistant Commissioner Income Tax, Circle (1) and Official Liquidator. A further direction was issued for publication in 'The Financial Express', English daily, Bengaluru edition and in 'Udayavani', Kannada daily in Bengaluru edition to be published before 20 days from the hearing date and the next date of hearing was fixed on 22.11.2017.

Pursuant to the same, the counsel for the Petitioner/Transferee Company and the Petitioner/Transferor Company has filed the Memo dated 13.10.2017 for having issued notices to the Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad. Registrar of Companies, Karnataka, The Official Liquidator, High Court of Karnataka and The Assistant Commissioner Income Tax, Circle (1), _____ and the postal receipts are filed along with the memo and counsel for the Petitioner/Transferee Company has also filed the copy of the paper publication for having taken out the advertisement in 'The Hindu', English daily newspaper and 'Udayavani', Kannada daily newspaper.

The Registrar of Companies in Karnataka, Bangalore vide letter No.ROCB/Legal/CA48/BB/2017 dated 23rd October, 2017 has filed his Report making some observations:

a. Employee Clause has not been mentioned in the scheme.

b. Method of Accounting has not been mentioned in the scheme i.e., Whether Pooling of Interest or Purchase Method."

c. As per the Clause 3.3 of the scheme The Transferor Company No.2 holds 5,64,80,700 equity shares of face value of Rs.10/- each of Transferee Company, and as per Clause 6.1 of the scheme the equity shares of the Transferee Company held by the Transferor Company No.2 shall stand cancelled accordingly the share capital of the Transferee Company shall stand reduced to the extent of face value of shares held by the Transferor Company 2 in the Transferee Company, but as per the list of shareholders of the Transferee Company, Transferor Company No.2 is not a shareholder in the Transferee Company, however as per the audited balance sheet of the Transferee Company, the Transferor Company No.2 holding 5,55,00,000 shares in the Transferee Company as on 31.3.2017.

d. As per Clause 5.1 the entire issued, subscribed and paid-up share capital of the Transferor Company No.2 is held by the Transferor Company No.1 but as per the MOA (As Transferor Company No.2 incorporated on 18/11/2016 and Annual return and balance sheet yet to be filed) the shares of the Transferor Company No.2 is held by M/s JSW Investments Private Limited not by the Transferor Company No.1. However as per the audited balance sheet submitted by the petitioner the above, claim is correct Share Transfer Information of Transferee Company and Transferor Company No.2 may be submitted before the approval of the scheme.

e. Technical scrutiny of Balance sheet of M/s. South West Mining Limited is pending (Kindly refer F.No.21/RD(SER)/TS-BS/ROC-KAR/2012 dated 30.3.2016 addressed to ROC, Karnataka) (Copy enclosed herewith for perusal).

The Director of the company has filed reply to the observations made by the Registrar of Companies, Karnataka by way of **Affidavit dated 16th November, 2017** and stated as follows:

a. It is submitted that there are no employees in the respective companies and the companies are managed only by the directors of the Transferor Company No.1 and Transferor Company No.2 companies. Accordingly, employee clause is not mentioned in the scheme as there are no employees in the respective companies. The above fact is also mentioned in paragraph 21 of the petition filed by the Petitioner Companies.

b. It is submitted that the Petitioner Companies submits that Clause 7 of the scheme provides for accounting treatment of the scheme.

c. As on 31st March, 2017, the Transferor Company 2 held 5,55,00,000 shares of the Transferee Company. On 24.4.2017 the Transferor Company 2 acquired 9,80,000 shares of the Transferee Company and as on 2.5.2017 acquired 700 shares of the Transferee Company from the nominee shareholders of JSW Investment Private Limited. Accordingly, as on date of filing application, the Transferor Company 2 held 5,64,80,700 shares of the Transferee Company which is 100% of the paid-up equity share capital of the Transferee Company. A Copy of the certified list of shareholders of the Transferee Company as on 31.5.2017 is enclosed as Annexure 2. The delivery instruction slips executed for transfer of shares of the Transferee Company in demat mode are enclosed as Annexure 3A to 3B and MGT 6 & Transfer Form (executed for acquisition of shares from nominees) are enclosed as Annexure 3C to 3D respectively.

d. As on 7.1.2017, the Transferor Company 1 acquired 10,000 (inclusive of 100 shares through its nominee Mr.Sundeep Jain) shares of the Transferor Company 2 from JSW Investments Private Limited. A copy of the certified list of shareholders of the Transferor Company 2 as on 31.5.2017 is enclosed as Annexure 4. The share transfer form is enclosed as Annexure 5A and MGT-

6 of the Transferor Company No.2 is enclosed as Annexure- 5B respectively.

e. It is submitted that it can be seen from the letter dated 30.3.2016 from the office of the Regional Director to the Registrar of Companies, Karnataka (ROC Karnataka), the Transferee Company has duly complied with the notice issued by ROC Karnataka. The said letter seeks inputs from ROC Karnataka which is pending and not from the Transferee Company. A Copy of the letter filed by ROC Karnataka. The said letter seeks inputs from ROC Karnataka which is pending and not from the Transferee Company. A Copy of the letter replied to the ROC Karnataka by the Transferee Company is enclosed as Annexure 6 for the kind perusal. Further pursuant to the Scheme of Amalgamation, the Transferor Company No.1 and Transferor Company No.2 will amalgamate into Transferee Company and the Transferee Company shall continue to exist. As such, all pending matters pertaining to the Transferee Company, if any, shall not abate and will continue.

f. It is further submitted that, since the registered office of the Transferor Company No.1 is at Mumbai, the application was filed with National Company Law Tribunal, Mumbai Bench. A Copy of the application, application stage order, and Chairman's report on shareholders' meeting, petition, and petition admission order is enclosed as Annexure 7A to 7D. Petition is scheduled for final hearing on 24th November, 2017.

The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed letter dated 3rd November, 2017 making some observations:

a. Para 6.1 and 6.2 of the scheme proposed reduction of share capital by cancelling the shares held in the second Transferor Company, while it is a mere cancellation of cross holdings.

b. It is noticed that the Transferee Company is holding 51.01% equity shares in the second Transferor Company while the balance is held by M/s. JSW Investment Private Limited. Hence, please clarify as to how it is stated that the total cross holdings to be cancelled/reduced is 5,64.80,700 equity shares of Rs.10/- each which includes equity shares of 2,88,05,157 held by JSW Investments private Limited (stated to be nominee of SJD Advisory Services Private limited). If that being so, how the Transferee Company proposes to retain its present holding of some 5,64,80,700 equity shares of Rs.10/- each which includes equity shares of 2,88,05,157 held by JSW Investments Private Limited). If that being so, how the Transferee Company proposes to retain its present holding of some 5,64,80,700 equity shares in the Transferee Company.

c. Please send annual report as at 31/3/2017 of Transferor Companies.

d. The authorized and paid up capital of M/s.SJD Advisory Services Private Limited is only Rs.1,00,000/- while it has reported a negative reserves and surplus of Rs.2,81,04,706/- when the date of incorporation is 18/11/2016. Please explain.

e. M/s.SJD Advisory Services Private Limited has raised secured loans from banks to the extent of Rs.480crores. It appears that these borrowings from banks have been deployed for making investments in the group companies since the company has invested in the shares of the Transferee Company (SWML) i.e., 5,64,80,000 equity shares of Rs.10/- each and in JSW holding Ltd of 100 shares of Rs.10/- each (both being group companies)

f. The main objects of the M/s. SJD Advisory Services Private Limited (second Transferor Company) are to carry on business or advisory service of technical administration, secretarial, commercial, legal (ie) consultancy services. But the business carried on by it appears only for investment purposes.

The Director of the company has filed reply to the observations made by the Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad by way of **Affidavit dated 16th November, 2017** and stated as follows:

a. It is submitted that the Transferor Company No.1 and Transferor Company No.2 submits that there are no employees in the respective companies and the companies are managed only by the directors of the respective companies. Accordingly, employee clause is not mentioned in the scheme as there are no employees in the respective companies. The above fact is also mentioned in paragraph 21 of the petition filed by the Petitioner Companies.

b. It is submitted that the Transferor Company No.1 holds 100% of the equity share capital of the Transferor Company no.2 and Transferor Company No.2 holds 100% equity share capital of the Transferee Company. The Transferor Company 1 and Transferor Company 2 are proposed to be merged into Transferee Company and the Transferee Company will issue shares to the shareholders of the Transferor Company 1, there is no cross holding between the Transferor Company 2 and Transferee Company. Upon merger of Transferor Company No.1 & Transferor Company No.2, the share capital of the Transferee Company held by the Transferor Company No.2 shall stand cancelled and consideration shares will be issued to the shareholders of the Transferor Company 1.

c. The Transferor Company No.1 holds 100% of the equity share capital of Transferor Company No.2. Further the Transferee Company is not holding the shares in the Transferor Companies. The Transferor Company No.2 beneficially holds 100% equity share capital of the Transferee Company. However, pending transfer of shares to the Transferor Company 2, JSW Investments Private Limited is holding shares on behalf of the Transferor Company 2 as a nominee. The requisite forms MGT 4, 5& 6 filed with Registrar of Companies is enclosed as Annexure 8. Transferor Company 2 is a 100% subsidiary of Transferor Company 1. Upon merger of Transferor Company 1 and Transferor Company 2 into the Transferee Company, the entire issued, subscribed

and paid-up capital of the Transferee Company held by the transferor Company 2 gets cancelled and will be re-issued by way of issue of consideration shares to the shareholders of the Transferor Company 1. A Copy of Chartered Accountant certifying the list of shareholders of the Transferee Company is enclosed at Annexure 9.

d. It is submitted that the audited financials of the Transferor Company 1 and Transferor Company 2 is enclosed as Annexure 10 and Annexure 11.

e. It is submitted that the Transferor Company 2 submits that the negative reserves and surplus of Rs.2,81,04,706 is on account of excess of expenses over the income. During the financial year ended 31st March, 2017, amongst other operating expenses, the Transferor Company 2 has incurred borrowing expenses of Rs.2,80,80,935 due to which there is an overall loss of Rs.2,81,04,706/-.

f. It is submitted that the Transferor Company 2 is in the business of provision of advisory/consultancy services and is also in receipt of income in relation to the same during the year ended 31st March, 2017. The Transferor Company 2 borrowed Rs.480 crores and utilized them to purchase the shares of the Transferee Company. The objective of this independent transaction was to hold the shares of the Transferee Company. Subsequently, the management of the Transferor Company 1, Transferor Company 2 and Transferee Company decided to merge the Transferor Companies into the Transferee Company. The Transferor Company 2 is not carrying on the investment business. A Single transaction of purchase of shares of the Transferee Company all by itself would not amount to 'carrying on the investment businesses. As indicated in the MOA the transferor Company 2 is engaged in the business of providing advisory service of technical administration, secretarial, commercial, legal (ie) consultancy services. Subsequently, the management of the Transferor Company 1, Transferor Company 2 and Transferee Company decided to merge the Transferor Companies into Transferee Company. Further, as mentioned in the scheme, the amalgamation of Transferor Company 1 and Transferor Company 2 with Transferee Company was undertaken for the following reasons:

1. Simplified corporate structure

2. Elimination of holding through multiple entity i.e., streamlining promoter holding
3. Rationalization of management and other operating expenses.

It is stated in your letter dated 8/10/2017 that certificate from auditors about compliance of accounting standards is enclosed as Annexure L. But no such enclosure is found attached.

It is submitted that the said certificate is enclosed as Annexure 1.

The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 6th December, 2017 making some observations:

a. Method of Accounting has not mentioned in the Scheme i.e., Whether Pooling of Interest or Purchase Method."
b. In reply to this office query seeking details of shares beneficially held by the petitioner companies, it is clarified by the petitioner company that it has filed Form MGT-4,5 & 6 with Registrar of Companies. On examination of the said forms, it is observed that in the said forms MGT 5 and 6 under the caption "Reasons for not registering shares in my name" the petitioner company has stated that " To comply with the statutory requirements under Companies Act, 2013". What compliance was sought to be accomplished by reason of such beneficial ownership is not stated. This aspect holds significance, since the ultimate beneficiary in this case is Sajjan Jindal Family Trust and the company in question has acquired stake in the transferee and first transferor company by raising monies through borrowings.

Further, it is also noticed that Sri.Anil Sood, Sri Abhishek Jain, Sri Sriram KSN, Sri Deepak Bhat, Sri Sanjeev Doshi, Ms.Neha Roy have been holding 100 equity shares each in the transferee company as nominees of the second transferor but the compliance with Section 89 of the Companies Act, 2013 has not been made. This needs to be attended to by the Transferor Companies."

c. As per the audited financials of the second transferor company as at 31.3.2017, it is noticed that a sum of Rs.60,69,434/- is shown as cash used in operating activities while cash used for investing and financial activities is Rs.4,80,03,50,857/- and Rs.4,79,43,09,475/- respectively. Thus it is clear that the main activity of the company appears to be "Investing and Financing". This is further evident from the Company's disclosure on segment reporting forming part of the Notes on Accounts to the Balance Sheet as at 31.3.2017. The Company has disclosed that its main segment of business is "Investing and Financing". Thus, the petitioner company M/s.SASPL has been carrying on the business of other than what is stated in its main objects and its statement in the scheme/affidavits that there is no change in its objects after incorporation to till date is wrong.

d. First Transferor (DASPL) holds 99% in Second Transferor Company (SASPL). DASPL is held by JSW Investment till 6/1/2017 and thereafter, its shareholding was transferred to Jindal Family Trust. Thus, presently the First Transferor Company is held by Sajjan Jindal Family. JSW Group are involved in the coal block allocation scam, the investigation of which is being monitored by the Hon'ble Supreme Court. However, the Deponent has no access to any such records and hence, the Tribunal may like to issue a notice to CBI, which is the investigating agency for their observations/comments.

e. The first and second Transferor Companies have not filed the Audited Financial Statements for the year ended 31.3.2017 which would be overdue by 28/11/17. Hence, these Transferor Companies be directed to file these Audited Financial Statements for 2016-17 forth with, before the Scheme is taken up for consideration, in the interest of an updated registry and in public interest.

f. It is also observed from the provisional Financial Statements that first and second Transferor Companies have carried on investment activity though their main objects are not of making

investments. Their financial assets are constituting virtually whole of assets and the income in Profit & Loss account also virtually from investment activity. Hence, RBI is required to be issued notice with and be heard as they are essentially investment companies under the regulation of the sectoral regulator i.e., RBI. It is also not clear as to why these two transferor companies have not been registered with RBI which need to the explained by the petitioner companies."

g. The Transferee Company has been under investigation of Hon'ble Lokayukta, Karnataka, on the issue of illegal mining in India and there have also been reports in media about the Transferee company having made a donation of Rs.10 crores to Prerana Educational and Social Trust as well as purchase of land at Rachenahalli Village Krishnarajapura Hobli at an exorbitant price of Rs.20 crores (referred to as dubious deals linking them to allotment of mining licences to the Transferee Company to the kin of then Chief Minister of the State of Karnataka Sri.B.S.Yediyurappa. Since transferee company has been facing these serious charges, it would be appropriate to issue notice to the Hon'ble.Lokayukta, Karnataka and hear them on the proposed scheme."

h. The Transferor Companies have been incorporated only in third week of Nov 2016 and through which JSW Investments Private Limited, an investment holding Company of Sajjan Jindal family held its stake of 43.99% in Transferee Company. It is not clear as to why the investment holding Company i.e., JSW Investment Private Limited which off loaded its holding to Trust did not hold its shares in Transferee Company directly and had held through two Transferor Companies which have been incorporated only in third week of November, 2016 and then being merged through the proposed scheme are not clear. It may also be relevant to ascertain this aspect by placing the onus on the petitioner companies to verify if the investment of these two transferor companies in the transferee company is entirely for business considerations or

otherwise, in the light of the two investigations underway i.e one by CBI and the other by Lokayukta, Karnataka."

i. Clause 5.5 of the scheme provides that the issue and allotment of equity shares to the Shareholders of the Transferor Company by the Transferee Company towards consideration shall be deemed to be in compliance of Section 42 and Section 62 of the Companies Act, 2013 whereas those provisions have no application to the facts of the case. Any issue and allotment of equity shares by the Transferee Company in discharge of consideration under a Scheme in terms of Section 230-232 of the Companies Act, 2013 does not attract provisions of section 42 and Sec 62 of the companies Act, 2013 and any such a deeming fiction in the scheme is misleading and may result in unwanted and unwarranted interpretation. Hence, the scheme requires amendment by deletion of the said clause.

j. That from the reading of clause 7.3 of the scheme it appears that there have been inter-company balances and loans and advances, which might attract provisions of Section 185 and Section 186 of the Companies Act, 2013. The transferor companies, whether as borrowers and/or lenders would have to explain to the satisfaction of this Hon'ble Tribunal as well as the regulator i.e., the ROC/RD, MCA the compliances, if any. It would be appropriate to appreciate that any loan given or taken from a related party attracts penal provisions of Section 185(4) and Section 186(13) of the Companies Act, 2013 respectively. Since the audited financial statement of both the transferor companies, which are proposed to be dissolved without winding up upon the scheme being implemented, are not submitted, it is not clear if the transferor companies be directed to file a speaking affidavit and also get the offences, if any, compounded before the scheme is approved."

The Director of the company has filed reply to the observations made by the Registrar of Companies, Karnataka by way of **Affidavit dated 30th December, 2017** and stated as follows:

a. It is submitted that Clause 7 of the Scheme provides for accounting treatment of the scheme.

Accordingly, the method of accounting is Purchase Method. Further, the Statutory Auditor of the Transferee Company has also certified the accounting treatment mentioned in the scheme and the same is enclosed as Annexure A.

b. It is submitted that the Transferor company 2 had acquired 5,55,00,000 equity shares of the Transferee Company from JSW Investments Private Limited (JIPL). The purchase consideration for the said shares were also discharged by the Transferor Company 2 to JIPL. Out of the said 5,55,00,000 equity shares, 2,66,94,843 shares were immediately transferred by JIPL to demat account of the Transferor Company 2. For the balance 2,88,05,157 equity shares of the Transferee company JIPL had given a Non-Disposal Undertaking (NDU) to the lenders of the Transferee Company as a collateral for loan facility availed by the Transferee Company. Accordingly, though the entire 5,55,00,000 shares were acquired by the Transferor Company 2, the said 2,88,05,157 shares were still held by JIPL i.e., the seller, on behalf and for the beneficial interest of the Transferor Company 2, pending release of the NDU by the lender. The form MGT 4,5,6 were filed with ROC to bring on record the beneficial ownership of the Transferor Company 2 on those 2,88,05,157 shares. It is important to note that, as on date, the NDU has been released by the lender. The Form MGT 4,5,6 were filed with ROC to bring on record the beneficial ownership of the Transferor Company 2, pending release of the NDU by the lender of Transferee Company and all shares of the Transferee Company have got transferred and held by the Transferor Company 2 in its name. A Demat statement reflecting the transfer of the said shares is enclosed as Annexure B.

Consequently, as on date, the entire (i.e100%) paid-up equity share capital of the Transferee Company is held by the Transferor Company 2 along with its nominees.

Further, in relation to compliance with provisions of Section 89 of the Companies Act, 2013 for nominee shareholders, it is submitted that all the required forms are filed with the Registrar of Companies, Karnataka and the same are enclosed as Annexure C1 and C2.

c. It is submitted that the Transferor Company 2 has been incorporated for undertaking the business of providing advisory/consultancy services as laid out in the main object clause of its Memorandum of Association. Accordingly, the entire revenue of the Transferor Company No.2 is from the business of providing the said advisory/consultancy services as is evident from its audited financials for the year ended 31st March, 2017. The Transferor Company 2 has however, during the financial year 2016-17 made a onetime strategic investment in accordance with the standard disclosures requirements in relation to the cash flow statement forming part of the audited financials is required to be disclosed under the head of investing/financial activities and accordingly disclosures have been made by second Transferor Company is neither in the regular course of its business nor does it constitute a business activity and it is thus denied that Transferor Company 2 has been carrying on business other than what is stated in the main objects.

d. The Petitioner Companies deny that the JSW Group headed by Sajjan Jindal family, is in any manner involved in the coal block allocation scam. It is submitted that following the mandate to CBI to investigate all the coal blocks allocated since 1993, certain enquiries were made by CBI on or about 2013 in relation to coal block allocations made by JSW Steel Limited (a company belonging to the JSW Group), for captive use in its steel and Power plants which was satisfactorily responded to by JSW Steel Limited following which is there have neither been any further enquiries nor any preliminary enquiry and/or any enquiry of whatsoever nature registered in the matter by CBI.

Without prejudice to the above, it is submitted that such enquiries were made on JSW Steel Limited and not on the Petitioner Companies. JSW Steel Limited is not part of the present Scheme. Hence, it is respectfully submitted that such past enquiries shall not have any bearing on the present Scheme and there is no requirement of issuing notice to the CBI.

Furthermore, in any event the Transferee Company shall continue to exist post amalgamation in which case, should there be any developments in the future in relation to the coal block allocation, the same will not be adversely affected in any manner.

e. It is submitted that the Transferor Company 1 have sought an extension for holding AGM till December 31, 2017 and hence, no filings of Annual Return is done so far. Copy of the approval received from the ROC and forms seeking extension is enclosed as Annexure D. Accordingly, the AGM of the Transferor Company 1 was held on December 28, 2017. In relation to Transferor Company 2, since the company was incorporated on November 18, 2016, as per provisions of Section 96 of the Companies Act, 2013, it can hold the Annual General Meeting till December 31, 2017 i.e., 9 months from the end of the Financial Year. Accordingly, the AGM of the Transferor Company 2 was held on December 23, 2017.

Pursuant to the above, the first and second Transferor Company undertakes to file the financial statements for the period ended March 31, 2017and its annual return is due course of time within the stipulated time period.

f. It is submitted that both, the First Transferor and Second Transferor Company have been incorporated for undertaking the business of providing advisory/consultancy services as laid out in the main object clause of its Memorandum of Association. Accordingly, the entire revenue of both the Transferor Companies are from the business of providing the said advisory/consultancy services as is evident from the audited financials for the year ended 31st March, 2017. Both the Transferor Companies have however, during the year 2016-17 made a one-time strategic non-trade equity investment in Group Company. It is submitted that the said non-trade strategic investment made by Transferor Companies are neither in the regular course of its business nor does it constitute a business activity and it is thus denied that the Transferor companies have been carrying on investment activity. It is submitted that the operating income of the Transferor Companies are from advisory/consultancy services and not investment related income such as

dividend/interest/gains or losses on investment etc. Accordingly, since the principal business activity and the entire revenue generation of the Transferor Companies consists of advisory/consultancy services and further that no investment related income has at all been earned by the Transferor Companies from the business of investments activity such as dividend/interest/gains or losses on investments etc., the Transferor Companies are not required to be registering with RBI. In view of the averments made herein, it is submitted that RBI is not the sectoral regulator in relation to its advisory/consultancy services and accordingly no notice is required to be given to the RBI in the matter.

g. On the basis of issues raised in report of Karnataka Lokayukta, Hon'ble Supreme Court had directed CBI to investigate into allegations. After investigation, CBI presented a charge sheet before special CBI Court, Bangalore in the year 2012 against the transferee company and twelve other accused. The Hon'ble Special CBI Court after an extensive trail in Special CC No.207/2012, found all charges baseless and acquitted all accused vide its judgment dated 26-10-2016. The matter stands concluded as no further appeal has been preferred against the order of Hon'ble Special CBI Court. Copy of the said order is enclosed as Annexure. Since, the matter is closed, and all allegation have been found baseless by a competent court of law, the Petitioner Company respectfully submits that there is no requirement of sending notice to the Hon'ble Lokayukta, Karnataka.

Without prejudice to the above, the Transferee Company would continue to be in existence even after the merger and accordingly, there would not be any adverse implications to ongoing proceedings, if any, on account of the merger.

h. It is submitted that the Transferor Companies were incorporated to have a separate holding company structure for each of the stream of business undertaken by the JSW Group and hence, the shares were transferred from JSW Investments Private Limited to the Petitioner Company 2. However, subsequently, the Group for commercial considerations and for simplification of group structure decided to purse merger of the Transferor Companies into the Transferee Company and hence, a

proposal for merger of the Transferor Companies were placed before the Board of Directors. Further, as mentioned in paragraph 5 and 8, no investigations proceedings are pending against any of the companies involved in the present scheme of merger. In any case, the ultimate ownership in the Transferee Company will continue with the Sajjan Jindal Family post-merger and hence, there is no intention to shun away from any investigations. All the required disclosures have been made for the present scheme and there is no attempt to make diversion of attention in any of the matters. The restructuring exercise is based on the commercial consideration and has no bearing on any of the investigations of any of the government agencies as the Transferee Company will continue to remain in existence with its ownership within the same group. Hence, Petitioner Companies respectfully submits that since there are no cases/enquiry pending against them before any of the Government investigation agencies, there is no need to issue any notices to such Government investigation agencies.

i. The Petitioner Companies undertake to amend the Scheme as directed.

j. It is submitted that the provisions of section 185 of the companies Act, 2013 i.e., restrictions on giving loans to directors, or any entities in which the directors of the companies are interested, are not attracted in the present case, as the Transferor Company 2 has not granted any loans to any entity. Further, the Transferor Company 2 doesnot have any borrowings from the related parties. In relation to compliance with provisions of Section 186 of the Act, the Transferor Company 2 would like to state that it has complied with the provision by passing a special resolution to approve the investment in shares of the Transferee Company. Copy of the Resolution along with form MGT-14 filed with the ROC is enclosed as Annexure F1 and F2.

The Registrar of Companies in Karnataka, Bengaluru has filed an affidavit dated 8th February, 2018 stating that the Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad, vide his Ref: F No.3/(B)/Amal/804/RD(SER)/2017 dated 23.1.2018 with certain reservations/observations:

a. The Transferee Company at para 2 of the counter has explained that purchase method is envisaged for accounting for the amalgamation. Hence, the earlier observations of the Regional Director are withdrawn in this regard.

b. In the light of this explanation, now submitted by the Transferee at para 3 of it counter, the earlier observations of the Regional Director in the filing of forms MGT 4,5 and 56 with ROC are hereby withdrawn.

c. With regard to para 4&7 of the counter affidavit of the transferee company, it is noted that a one of non trade investment was made by the second transferor company and it is not their regular activity. As it is not a regular business activity, it was shown under the head of investing activity in the cash flow. This explanation is tenable and hence the earlier observation is herby withdrawn.

d. The petitioners at para 5 of the counter have denied involvement of Sajjan Jindal , led JSW Group in any manner in the coal block allocation scam and it is noted that its group company i.e., JSW Steel Limited was queried by CBI in relation to allocation of coal block to it but no preliminary enquiry was registered. This deponent has no further submissions in the light of the same. Hence, the Hon'ble Tribunal may like to proceed in the matter as deemed fit.

e. The submissions of the petitioners vide para 6 of the counter for non-filing of Annual Returns and Financial Statements of the companies have been noted. However, the petitioners may be directed to update the filings before the final determination/disposal of this company petition.

f. With regard to para 7 of the counter, it is submitted that the initial observations were made based on technical scrutiny exercise carried out by the ROC, Bengaluru during the year 2012, but the transferee company now submits that the special CBI Court had acquitted the Transferee Company of the allegations. Hence, this deponent does not press the same.

g. At para 8 of the counter, the transferee company comes on record to clarify the rationale for the group structure adopted by it. Transferee Company further clarified that no investigations are pending against any

of the companies involved in the present scheme. Hence, no further comments are offered.

h. With regard to para 9 of the counter, no further observations are required as the petitioner companies agreed to amend the scheme for deletion of clause 5.5.

i. Further the Registrar of Companies submitted that Regional Director, Ministry of Corporate Affairs, South Eastern Region, Hyderabad vide his Ref:F.No.3/(B)/Amal/804/RD(SER)/2017/4878 dated 25/01/2018, that the company vide its letter dated 23.1.2018 had informed that there have been no transaction between DKS Advisory Services Private Limited (Transferor Company No.1) and South-West Mining Limited (Transferee Company) and hence the Directorate instructed to submit as follows:

"That the petitioner companies have confirmed that, provisions of Section 185 and 186 of the Companies Act, 2013 have not attracted, since there were no loan or borrowals between both the transferor and transferee companies. It was also confirmed that, there were no intercompany balance accordingly. In the light of this clarification, the earlier observations of Regional Director are satisfactorily explained.

On the prayer made by the Official Liquidator in OLR No.158/2017 in CP(CAA) No.48/BB/17, vide order dated 13.10.2017 M/s Bhandari Pincha & Surana, Chartered Accountants were appointed to scrutinise the Books of Accounts and records of the Petitioner/Transferor Company. Upon scrutiny of Books & Records and other material made available by the Transferor Company M/s Bhandari Pincha & Surana, have submitted report dated 16.11.2017. Pursuant to the same, the Official Liquidator has filed a report in OLR.No.187/2017 in CP(CAA) No.48/BB/2017 stating that the Company has maintained proper books and records and that the affairs of the Company have not been conducted in a manner prejudicial to the interests of the members or to public interest. The Income Tax Department has not filed any objections to this scheme in pursuance of notice issued. There is no response from Income Tax Department.

The Counsel for the Petitioner Companies have filed the certificate of the Chartered Accountant stating that the accounting treatment detailed in the aforesaid Scheme is in compliance with Accounting Standard-14 for Amalgamation as prescribed under Section

133 of Companies Act, 2013 read with Rule 7 of the Companies (Account) Rules, 2014. The said certificate is produced as Annexure-1 to the reply affidavit. The Petitioner Companies have filed a reply affidavit dated 30.12.2017 answering the queries raised by the Regional Director, Ministry of Corporate Affairs, South East Region and the Registrar of Companies.

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme as above, we further clarify that, this order should not be construed as an order in any way of granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee Company for all the state and interest of the Transferor Company therein but subject nevertheless to all charges now affecting the same; and

All liabilities including taxes and charges, if any and duties of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

All proceedings now pending by or against the Transferor Companies, if any, be continued by or against the Transferee Company; and

The tax implications, if any arising out of the scheme is subject to final decision of concerned Tax Authorities and the decision of the respective Tax Authority shall be binding.

The Second Transferor Company is to be dissolve without the process of winding up after the Scheme becomes effective. The dissolution of the First Transferor Company is subject to the sanction of scheme by the NCLT, Mumbai Bench.

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to